



“There are productivity gains across businesses. The trend is towards automation, but it’s not a tsunami yet”

SANGEETA GUPTA
SVP & CHIEF STRATEGY
OFFICER, NASSCOM



“Labour arbitrage alone won’t be the headline anymore, but India’s advantage doesn’t evaporate. It changes”

R. GANESAN
SENIOR VICE PRESIDENT
& HEAD-CORPORATE, L&T
CONSTRUCTION

ity, and requires companies to reimagine businesses and processes.”

“There are productivity gains across business. The trend is towards automation, but it’s not a tsunami yet,” says Sangeeta Gupta, Senior Vice President and Chief Strategy Officer, Nasscom. She says roughly two-thirds of enterprises are still in experimentation mode, constrained by legacy systems, data silos, governance risks and organisational inertia. Tools can automate 30–40% code writing, but clients aren’t adopting that at full production scale everywhere, yet.

Platforms such as Anthropic’s Claude Cowork make coding accessible even to non-coders. Someone can just type instructions such as ‘build an app to aggregate all mutual fund schemes’ and it will produce functional code. It also guides users with explana-

tions, debugging tips and corrections, helping them learn while they build. Such platforms lower barriers to software building and automate routine coding tasks. If they get better, they could dent the IT services model or at least entry-level jobs.

Experts say if enterprises are experimenting, service providers must invest ahead of monetisation—build platforms, retrain teams and reshape sales conversations. But anemic top line growth of 2–5% in the last few years shows much of this is work in progress and yet to pick up pace.

Gupta sees opportunities in areas like data engineering, Cloud, AI, cybersecurity, and governance/risk services. Nasscom believes these segments can run in low double-digits even if the older work grows in single digits.

Ramamoorthy says the reinvention is broader and impacting business, operating and financial models. “If AI agents do more routine work, pricing constructs also change, towards outcomes and subscriptions.” He says the capabilities needed today are very different from the past; broad generalists who can connect dots across domains and technologies may matter more because AI can supply specialised knowledge on demand. He bats for a talent mix that could include liberal arts alongside math and engineering—people who can interpret human contexts and not just compute.

The rise of global capability centres (GCCs) needs to be seen in this context. CII says India has more than 2,000 GCCs employing around 1.8 million people. A lot of them do the work that should have gone to third-party IT service providers. Rather than killing offshoring, this changes who owns it. The work is still moving to India. It’s just being sourced differently, through ecosystem partnerships, GCCs, and AI-augmented delivery models rather than pure labour-arbitrage deals.

WHAT HAPPENS TO JOBS?

Besides automating parts of coding work, AI chatbots are also taking over BPO roles such as basic customer support, service requests and transactions across banks. Humans are working alongside AI agents to deliver work faster, reducing the employee headcount. In fact, in the first nine months of this fiscal, net employee addition at the top five IT services companies was a total of 17!

Of course, this doesn’t mean a lights-out future with a handful of humans watching dashboards. “Even if code is automated, humans still need to